

Appendix Figure: The Deduction Pipeline Narrows from Interest Paid to Tax Savings

Estimated annual interest paid, the deduction cap, the MAGI-phased allowable deduction, and tax savings by race and household type.



Author's analysis of 2022 Survey of Consumer Finances data. Population: subgroup means among eligible households with positive student debt. The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 through 2025; because borrower-specific loan terms are not observed, they show a plausible range of impacts. Error bars show 95% confidence intervals.